

Acquisition mode on full throttle

Another relevant acquisition announced: this time, buying farmland

On Friday, SLC announced the completion of two contracts to acquire a total of 48k ha for its own land portfolio, totaling R\$913mn. Both areas are currently part of SLC's leased land portfolio, meaning this acquisition will result in virtually no planted area expansion—only 500 ha are not under the company's control. SLC acquired 40k ha in São Desidério-BA (Fazenda Paladino) for R\$723mn and 8k ha in Unaí-MG (Fazenda Pamplona) for R\$190mn, both to be paid in two installments.

How to deal with farmland investment?

Finding the optimal balance between leased and owned land is key for agribusiness players. An asset-light model often yields higher but more volatile returns and, perhaps most importantly, provides the optionality for faster expansion. SLC's growth ambitions in recent years, for example, were largely driven by this leased-land model, which has grown to represent 67% of the company's planted area (up from 34% 15 years ago). In turn, the owned-land farming model offers lower but more stable returns, while also providing long-term upside from farmland price appreciation. Having said that, farmland cap rates, though, average in the low-single digits (Chart 1), which we believe can be justified by the diversification and risk mitigation associated with land (real estate) investments.

For this reason, acquiring land is not a trivial decision, especially for a listed player like SLC. We believe the market tends to undervalue these assets, with market value often leading to a steep trading discount to NAV. For a deeper assessment on this topic, check our land value primer [here](#).

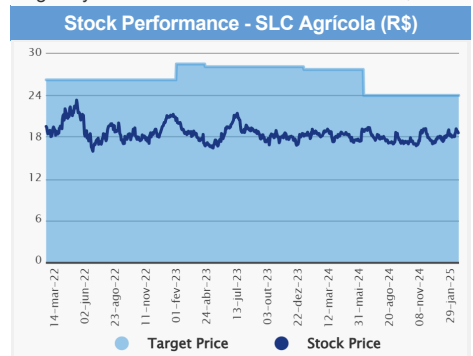
Our two cents on the rationale behind the deal

After the Sierentz acquisition added another 100k ha to the leased land portfolio, pushing its share to 67% of the company's total area, it was natural to expect that SLC would eventually resume the strategy of acquiring land - the company had already mentioned this possibility in a recent conference call. So, we get a sense that SLC found an opportunistic way to rebalance the share of owned land in its portfolio amid a stagnated land and commodity price scenario. In fact, this background also supports what we see as another rationale for the deal: a countercyclical bet on the land market. Prices have remained flat in nominal terms for nearly 2 years (Chart 2),

Valuation	12/2022	12/2023	12/2024E	12/2025E	12/2026E
RoIC (EBIT) %	28.0	21.0	13.3	19.4	20.2
EV/EBITDA	4.7	5.3	6.7	4.9	4.4
P/E	6.6	8.1	13.9	9.7	6.6
Net dividend yield %	5.8	7.6	5.5	0.0	5.1
Financials (R\$m)	12/2022	12/2023	12/2024E	12/2025E	12/2026E
Revenues	9,590	9,151	7,615	9,740	10,678
EBITDA	3,178	2,709	2,012	2,785	3,108
Net Income	1,441	1,027	554	843	1,250
EPS (R\$)	7.06	2.33	1.26	1.92	2.84
Net DPS (R\$)	2.73	1.43	0.96	0.00	0.96
Net (debt) / cash	(5,486)	(6,071)	(5,703)	(5,379)	(5,539)

Rating	Buy
12m Price Target	R\$24.00/US\$4.18
Price	R\$18.60/US\$3.24
RIC:	SLCE3.SA
BBG:	SLCE3 BZ

Trading Data & Return Forecasts	
Forecast price appreciation	+29.0%
Forecast dividend yield	5.2%
Forecast stock return	+34.2%
52-wk range	R\$ 19.4-R\$ 16.7
Market cap.	R\$ 8,181 mn
Shares o/s (m)	439.8 mn
Free Float	45.0
Avg. daily value	R\$ 43 mn



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largely reflecting the downturn following the 2020-2022 commodity price supercycle. By acquiring these areas at this stage, SLC positions itself to capture potential price appreciation when the price cycle resumes an uptrend. It is also worth noting that, despite appearing mature, these lands could still benefit from further transformation investments, such as expanding irrigation.

On to the numbers...

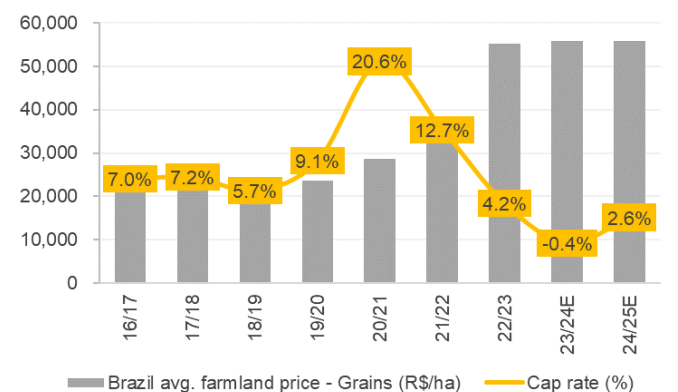
As we did in the LandCo transaction back in October ([here](#)), here are two ways to assess the value paid for both areas. The first is a comparable-based approach: according to our data and the company's, the average value of mature, high-yield land in Unaí-MG and São Desidério-BA is R\$72k/ha and R\$50k/ha, respectively, implying acquisition discounts of ~50% and 34% to market value.

The second is by estimating the additional EBITDA (ex-IFRS) coming from lower leasing payments. Considering lease prices of 13 sc/ha in BA and 11 sc/ha in MG, current soybean prices in both regions, and the amounts paid, we arrive at an EV/EBITDA of 12x for BA and 18x for MG - well above SLC's current 2025E multiple of ~5x EV/EBITDA. While these valuations may seem stretched, this is natural for this kind of acquisition, as we are leaving aside the potential land price appreciation over time.

SLC remains our Top Pick

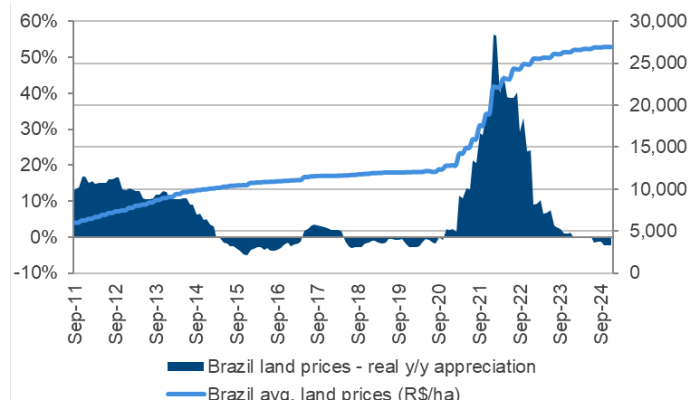
All things considered, we tend to agree with the rationale behind the deal and believe SLC sought to opportunistically increase the share of owned land in its portfolio, enabling further area expansion while maintaining a balanced own-to-leased mix. However, we recognize that some investors might weight on the impact this deal will have on SLC's near term cash generation. With Friday's announcement, we estimate that SLC has R\$1.2bn committed in M&A installments for 2025 and R\$480mn for 2026, meaning the company will likely need to leverage up a bit more. SLC ended 2024 with a leverage ratio of 1.8x EBITDA, below the 2x soft guidance, which may justify why they pursued another significant acquisition. The stock remains one of our Top Picks as we believe SLC offers a rare mix of growth and value, securing high-quality land at an attractive price while operating at the bottom of the commodity cycle.

Chart 1: Estimated land cap rate (%)



Source: IMEA / S&P / BTG Pactual

Chart 2: Land price appreciation in Brazil



Source: S&P / BTG Pactual

Table 1: EV/EBITDA calculation for both deals

Estimated Valuation	Paladino	Pamplona
Hectares bought	39,987	7,835
Leasing price (sc/ha)	13	11
Total Leasing (sc)	519,831	86,185
Soybean price (R\$/sc)	114	120
Total Leasing (R\$mn)	59	10
Total paid (R\$mn)	723	190
EV/EBITDA (ex-IFRS16)	12.2x	18.4x

Source: Company / BTG Pactual

Table 2: SLC's M&A cash outflow for the next 3 years

M&A cash outflow (R\$mn)	2025	2026	2027
SLC Land Co acquisition	350	0	0
Sierentz acquisition	352	117	117
Own land acquisition*	552	362	0
Total	1,254	479	117

Source: Company / BTG Pactual | *MG deal to be fully paid in 2025

SLC Agrícola

Income Statement (R\$m)	12/2022	12/2023	12/2024E	12/2025E	12/2026E
Revenue	9,590	9,151	7,615	9,740	10,678
Operating expenses (ex depn)	(6,450)	(6,454)	(5,597)	(6,955)	(7,570)
EBITDA (BTG Pactual)	3,178	2,709	2,012	2,785	3,108
Depreciation	(489)	(519)	(556)	(612)	(686)
Operating income (EBIT, BTG Pactual)	2,690	2,189	1,456	2,173	2,422
Other income & associates	(126)	(254)	237	0	0
Net Interest	(699)	(711)	(935)	(978)	(707)
Abnormal items (pre-tax)	0	0	0	0	0
Profit before tax	1,864	1,224	759	1,194	1,714
Tax	(469)	(286)	(124)	(299)	(429)
Profit after tax	1,395	938	635	896	1,286
Abnormal items (post-tax)	0	0	0	0	0
Minorities / pref dividends	(69)	(42)	6	(42)	(44)
Net Income (local GAAP)	1,326	896	641	854	1,242
Adjusted Net Income	1,441	1,027	554	843	1,250
Tax rate (%)	25	23	16	25	25
Per Share	12/2022	12/2023	12/2024E	12/2025E	12/2026E
EPS (local GAAP)	6.49	2.03	1.46	1.94	2.82
EPS (BTG Pactual)	7.06	2.33	1.26	1.92	2.84
Net DPS	2.73	1.43	0.96	0.00	0.96
BVPS	22.52	11.19	11.49	13.43	15.30
Cash Flow (R\$m)	12/2022	12/2023	12/2024E	12/2025E	12/2026E
Net Income	1,441	1,027	554	843	1,250
Depreciation	489	519	556	612	686
Net change in working capital	(168)	(311)	1,076	464	(218)
Other (operating)	1,199	812	44	0	0
Net cash from operations	2,845	1,916	2,317	1,930	1,710
Cash from investing activities	(1,121)	(1,661)	(1,646)	(1,606)	(1,249)
Cash from financing activities	101	(50)	708	0	(421)
Bal sheet chge in cash & equivalents	1,096	378	1,501	324	40
Balance Sheet (R\$m)	12/2022	12/2023	12/2024E	12/2025E	12/2026E
Cash and equivalents	1,237	1,615	3,116	3,440	3,480
Other current assets	5,797	5,754	5,344	5,164	5,563
Total current assets	7,033	7,368	8,460	8,603	9,043
Net tangible fixed assets	3,865	4,534	5,603	6,596	7,159
Net intangible fixed assets	0	0	0	0	0
Investments / other assets	3,970	3,954	3,470	3,470	3,670
Total assets	14,868	15,856	17,532	18,670	19,872
Trade payables & other ST liabilities	2,770	2,311	2,834	3,118	3,298
Short term debt	1,819	1,729	2,433	2,433	2,433
Total current liabilities	4,590	4,040	5,268	5,551	5,732
Long term debt	4,903	5,957	6,385	6,385	6,586
Other long term liabilities	479	617	564	564	564
Total liabilities	9,972	10,614	12,217	12,500	12,881
Equity & minority interests	4,896	5,242	5,315	6,169	6,990
Total liabilities & equities	14,868	15,856	17,532	18,670	19,872

Company Profile

SLC Agrícola is a Brazilian agribusiness company, which owns one of the largest land portfolios in the country and is one of the most important agricultural producers, focused on cotton, soybean and corn production. It is exposed to agricultural commodity and land price variation. Its farms show above average yields due to its modern production system, rigorous cost control and high quality land. The company is controlled by the Logemann family and is run by a highly professional management with long term experience in the sector.

Financial ratios	12/2022	12/2023	12/2024E	12/2025E	12/2026E
EBITDA margin	33.1%	29.6%	26.4%	28.6%	29.1%
Operating margin	28.0%	23.9%	19.1%	22.3%	22.7%
Net margin	15.0%	11.2%	7.3%	8.7%	11.7%
RoE	35.5%	21.6%	11.1%	15.4%	19.8%
RoIC	28.0%	21.0%	13.3%	19.4%	20.2%
EBITDA / net interest	4.5x	3.8x	2.2x	2.8x	4.4x
Net debt / EBITDA	1.7x	2.2x	2.8x	1.9x	1.8x
Total debt / EBITDA	2.1x	2.8x	4.4x	3.2x	2.9x
Net debt / (net debt + equity)	52.8%	53.7%	51.8%	46.6%	44.2%

Source: Company reports and BTG Pactual estimates. Valuations: based on the last share price of that year(E) based on share price as of 14-mar-2025

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Buy	Expected total return 10% above the company's sector average.	65%	53%
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SLC Agrícola	SLCE3.SA	Buy	R\$18.62/US\$3.24	2025-03-16
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Statement of Risk

SLC Agrícola. [BRSCLCE] - As a soft commodity producer, the company has very volatile results. Amongst SLC's main risks, we would flag: (i) climate conditions; (ii) currency fluctuation, as most of its sales are dollar denominated, while only half of its costs are exposed to currency changes; (iii) exposure to very volatile soft commodity prices; (iv) the lack of visibility and limited liquidity on land monetization; (v) land price exposure and (vi) uncertainties over the current regulatory framework in the country.

Valuation Methodology

SLC Agrícola. [BRSCLCE] - Our target price is DCF-based and discounted at a USD-nominal WACC of 7.2%